

the Securities and Exchange Board of India (Sebi), the market regulator, and government initiatives to promote ESG, or environmental, social and governance, standards.

To be sure, ESG adoption among MSMEs is still at an early stage—often limited by capacity and awareness gaps, and resource constraints. That can no longer be an excuse for inaction by the MSMEs, which play a vital role in the economy, their presence cutting across sectors ranging from agriculture to automobile components, contributing 30% of gross value added, 45.7% of exports and employing 260 million people, according to the latest available figures.

STARTING SMALL

Increasingly, investors and foreign businesses are using yardsticks like ESG to assess the impact their partners leave on the environment

and society at large, making it crucial for MSMEs to embrace and adopt an ESG framework.

For MSMEs, starting small and building on existing processes will lead to both efficiency and value, says Shailesh Tyagi, Partner in the sustainability and climate practice at Deloitte India. “ESG is no longer optional; it is becoming the blueprint for long-term value,” he says.

Sebi’s initial ESG mandate came into effect in financial year 2022-23 (FY23), requiring the top 1,000 listed companies by market capitalisation to file Business Responsibility and Sustainability Reports (BRSR). In FY24, the regulator went a step further by directing the top 250 listed companies to begin supply chain ESG disclosures, covering 75% of their suppliers.

Companies promptly raised a raft of red flags. Smaller companies lack ESG reporting capacity,

went one complaint. Some flagged concerns over the burden of third-party verification and said the cost of complying with ESG standards was too high for companies already battling capital constraints.

Responding to these concerns, Sebi deferred the supply chain reporting timeline to FY26.

WHAT’S GOING RIGHT?

Some large industries like automotive, textiles, fast-moving consumer goods and information technology are already actively moving towards implementing ESG standards, says Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small & Medium Enterprises.

Meanwhile, MSMEs have been trying to comply with softer aspects of ESG like reducing emissions by switching to solar power and other non-conventional energy sources, Bhardwaj adds.

“Many MSMEs are now implementing simplified ESG frameworks like BRSR Lite to showcase sustainability practices and are collaborating with larger companies who are supporting sustainability among SMEs through ESG toolkits, templates and training to navigate reporting complexities,” says Vinod Kumar, president of the India SME Forum.

Initiatives like Project Savannah, aimed at empowering MSMEs in their ESG reporting, are equipping companies with digital credentials and standardised tools to measure compliance, Kumar says. MSMEs are also receiving green certification and leveraging technology and financial support from government and state initiatives, he adds.

To tackle greenhouse gas emissions by MSMEs, the government launched two schemes under its Raising and Accelerating MSME

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